Edexcel A Level Business

Your notes

4.4 Global Industries & Multinational Corporations

Contents

Impact of multinational companies on the local economy

- **A multinational company (MNC)** is a business that is registered in one country but has manufacturing operations/outlets in different countries
  - E.g. Starbucks's headquarters is in Washington, USA, but the company has 32,000 stores in 80 countries
- Factors such as **globalisation** and **deregulation** have contributed to the growth of MNCs
- MNCs will choose locations based on factors such as **cost advantages** and access to markets
  - Nike originates from the USA, but 50% of its manufacturing takes place in China, Vietnam and Indonesia due to the **lower production costs** in those countries
- MNCs offer both advantages and disadvantages with regard to:
  - Employment, wages and working conditions
  - The impact on local businesses
  - The impact on the local community and environment

Advantages and disadvantages of MNCs on employment, wages and working conditions

Advantages	Disadvantages
▪ MNCs lead to **job creation** in local communities ▪ MNCs may offer **more competitive wages** than local businesses ▪ MNCs may offer better working conditions than local businesses	▪ MNCs may exploit local workers if employment regulations are **weak or not enforced** ▪ **MNCs tend to establish production facilities in regions where labour costs are lower and relatively low wages are paid** ▪ MNCs may not create jobs for local workers, as they may **relocate workers from their own country** to work abroad (Chinese companies are notorious for this)

Advantages and disadvantages of MNCs for local businesses

Advantages	Disadvantages

▪ MNCs can help **boost the local economy** by creating opportunities for local businesses ▪ If the population is benefiting from higher wages, citizens may **spend more** on local business products ▪ MNCs may **utilise the services** of local businesses ▪ There may be potential opportunities for **joint ventures** and partnerships with MNCs that seek to gain knowledge of the local market ▪ Local firms may **learn new skills** and production methods that allow them to become more efficient	▪ MNCs **reduce the supply of workers** available to local businesses if they offer better pay and working conditions ▪ If MNCs are able to produce at a lower cost and **compete with local businesses**, those businesses may lose local customers ▪ If local businesses lose customers, this may also cause unemployment for workers of local businesses

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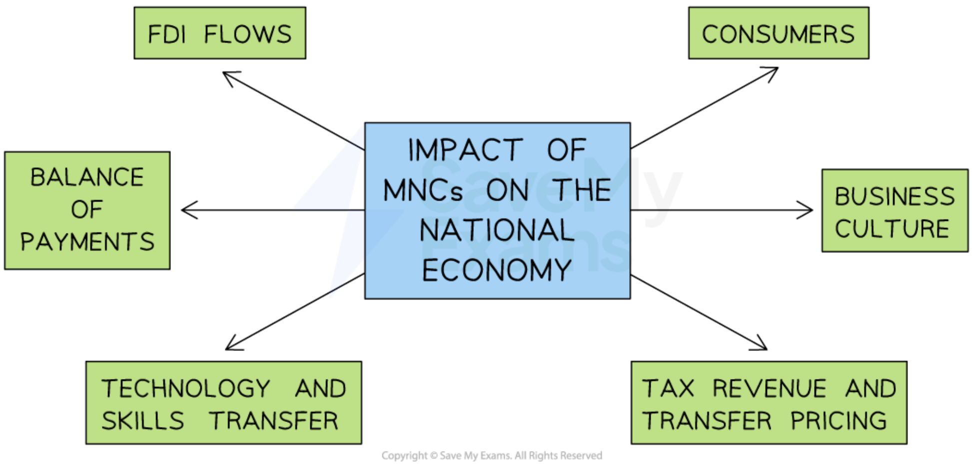
Advantages and disadvantages of MNCs for local communities and the environment

Advantages	Disadvantages
▪ Local residents may benefit from **job opportunities** and growth in the local economy ▪ MNCs often invest in improving **infrastructure** ▪ Better roads, transportation and access to water and electricity would help the local community as well as the MNC operate more efficiently ▪ MNCs may have to pay taxes and **business rates** to local councils/authorities ▪ These funds may be reinvested back into the local community ▪ MNCs can establish **charitable initiatives** that have a positive effect on the local community	▪ MNCs may cause **damage to local habitats/environments** during the production process ▪ E.g. Shell has a track record of causing **oil pollution** in vulnerable communities in Nigeria ▪ MNCs may leave **unsightly production facilities** behind once they have extracted all of the resources and left the country

Impact of MNCs on the national economy

- Many governments are in favour of MNCs establishing operations in their countries, as there are **benefits** to the wider economy

The impact of MNCs on national economies



MNCs impact several metrics in the national economy, including foreign direct investment flows and the balance of payments

Foreign direct investment flows

- There will be an **inflow of money** into a country if an MNC decides to invest through **foreign direct investment** (FDI)

Advantages and disadvantages of FDI flows from MNCs

Advantages	Disadvantages

▪ There is an **initial lump sum of money** that enters the country to pay for the investment
  ▪ This money **enriches local firms or citizens** who now have more money available to spend in the economy
  ▪ If this money is **reinvested into the local economy**, it may help to generate new jobs and boost economic growth
	▪ Assets from the home country are now **owned (or partly owned)** by foreign businesses
	▪ The local firms or individuals who have sold an asset might not reinvest the money into the local economy and instead **move it abroad/offshore**

Balance of payments

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- The **balance of payments** is a statement showing all of the **financial transactions** between a country and the rest of the world
- MNCs can help to **improve** a country's balance of payments, as the FDI flows into the country will help improve its balance of payments
  - Any goods and services **exported for sale** by the MNC will generate further inflows to the country's balance of payments
  - This is especially beneficial to a country when the MNC is exporting a **rare and valuable raw material, e.g. cobalt**
- MNCs can also have a **negative impact** on the balance of payments
  - If the MNC buys raw materials or equipment abroad (imports), there is a flow of money out of the country
  - If the MNC **sends profits back** to its home country, this is also a flow of money out of the country

Technology and skills transfer

- MNCs can bring new technologies and skills to local businesses
  - This will help **improve efficiency and productivity**, helping domestic businesses to become **more competitive** in the national and international markets

Consumers

- Customers in countries that host MNCs benefit from:
  - A **wider choice of goods** and services
  - **Lower prices** if MNCs pass their cost advantages on in the form of lower prices
  - **Better quality** goods and services
  - **Improved living standards**, as people may have higher incomes due to the job creation and the resulting reduction in unemployment
- However, in the long run, MNCs can **push domestic businesses out of the market**, leaving customers with less choice
  - This may lead to MNCs exploiting customers with **higher prices** and **low-quality products**, as customers have limited choice

Business culture

Advantages and disadvantages of MNCs on business culture

Advantages	Disadvantages
▪ Domestic businesses may be influenced by the **business culture** of MNCs	▪ MNCs may demonstrate **unethical behaviour** and have a company culture of exploitation

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▪ E.g. in the 1990s, UK businesses adopted the working practices of Japanese businesses such as Nissan ▪ Workplaces became more open, and employers started to copy ideas such as **kaizen** and continuous improvement ▪ MNCs may also encourage a culture of **entrepreneurship** ▪ This can help boost overall economic growth	▪ E.g. Bangladesh is used by many clothing brands to produce cheap clothes, and many turn a blind eye to the poor working conditions ▪ This encourages local firms to **also ignore working conditions**

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Tax revenue and transfer pricing

- There is the potential for the host country to gain significant tax revenue
- Governments can use tax revenue paid by MNCs to invest in improving public services and infrastructure
- However, MNCs seek to maximise profits and will try to **reduce their tax liabilities**
  - **Transfer pricing** is a method used by MNCs to shift profits from the countries in which they are generated to countries with lower tax rates
  - This is a method of **tax avoidance** and means that the businesses will pay less tax in the host country

Examiner Tips and Tricks

In Papers 1 and 3, when assessing the impact of MNCs on the local and national economies, consider the scale of the multinational in comparison to the country in which it is looking to establish itself. For example, if the MNC makes more profit than the GDP of the country in a year, it is likely to have a strong influence on the country.

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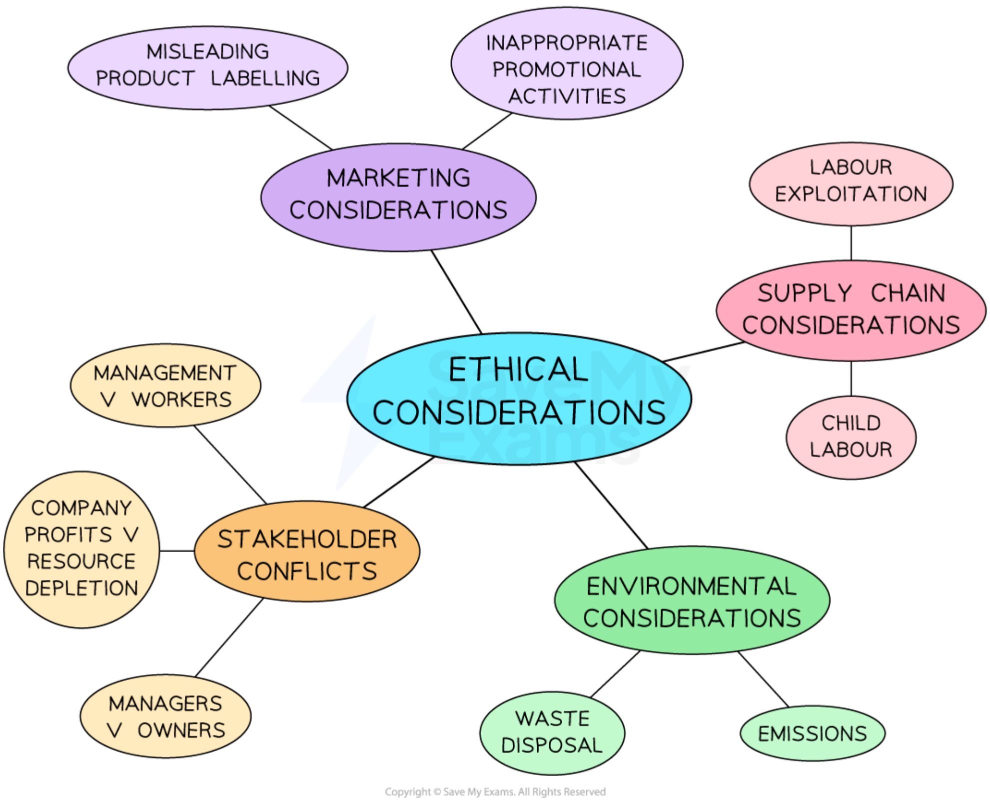
An introduction to ethics

- **Business ethics** refers to the principles and norms that govern business behaviour
- The **ethics of a business** will determine how it operates and its decision-making process
- Unethical actions can **damage the brand** and result in a loss of profitability
  - Unethical actions are often pursued, as they result in higher levels of profit for the business (or its owners)
  - Customers around the world are putting more and more **pressure on brands** to behave ethically
- Businesses are being judged more on how they **handle the following issues**

Ethical considerations



The range of ethical considerations businesses need to consider include marketing and the supply chain

Ethical considerations explained

Stakeholder conflicts

- A **stakeholder** is an individual or group that has an interest in or can be affected by a business
- Different stakeholders have different **levels of power** and **different priorities**, which inevitably creates the potential for conflict

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Conflicts between stakeholders

Conflict	Explanation
Management vs workers	▪ Management may be more focused on output or reducing costs than on **worker safety** or creating a positive working environment ▪ Workers want to be safe and have a comfortable environment in which to work
Management vs owners	▪ The **owners (shareholders)** want management to maximise the business's profits and, for example, be **less interested** in the mental wellbeing of the employees ▪ Management works daily with the employees and will often **sacrifice some profit** in the interest of looking after workers' health and mental wellbeing
Company profits vs resource depletion	▪ The **owners (shareholders)** aim to maximise output so as to generate increasing levels of profit ▪ Higher output requires more **rapid usage of natural resources** and generates more environmental damage

Pay and working conditions

- Multinational corporations (MNCs) often operate in countries that have **different employment regulations** and working conditions
  - MNCs need to decide if they will comply with the regulations of their base location or the other country
- MNCs may demonstrate unethical behaviour by **exploiting workers** in **LEDCs** by paying them lower wages
  - MNCs argue that the wages they pay provide a decent standard of living within that country
  - In 2015, Apple came under scrutiny as its production facilities in China were found to pay workers approximately $1.85 an hour, nowhere near enough to cover workers' living expenses
- Some MNCs also behave unethically by providing **poor working conditions in order to cut costs**

- Factories and warehouses with poor working conditions are referred to as "sweatshops"
    - Nike was accused of using sweatshops in countries such as China and Vietnam, paying workers just 14 cents a day
- Another issue with MNCs is **child labour**, where school-aged children are working extremely long hours
  - Starbucks was found to have children under 13 working 40-hour weeks in Guatemala picking beans for as little as £5 a day

Environmental considerations

- Climate change and **global warming** have become a priority for governments across the world
- Governments are encouraging businesses to **improve the environmental impact** of their business activity

Current environmental issues

Issue	Explanation
Waste management	▪ Many **developed countries have regulations** about how businesses should dispose of their waste ▪ **LEDCs usually have less regulation** and enforcement on waste management ▪ There is usually poor waste management infrastructure ▪ MNCs can also **dispose of waste in LEDCs at a cheaper cost**, which allows them to maintain their high profits ▪ Four major MNCs (Coca-Cola, Pepsi, Nestle and Unilever) dispose of half a million metric tonnes of plastic across six developing countries (Tearfund, 2020)
Emissions	▪ **Emissions** are often released from factories or from products made by MNCs ▪ E.g. the Carbon Majors database report found that just **100 companies are responsible for 71%** of the global emissions that cause global warming ▪ The emissions MNCs produce have a negative impact on local communities, causing health issues such as asthma, cancer and skin irritations

Supply chain considerations

- **The supply chain consists of all the suppliers involved in the manufacturing of a product/service**

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- Many MNCs have suppliers in different countries, and increasingly, they are held accountable for the working conditions of these suppliers
- Many MNCs are now taking action to reduce unethical labour practices as part of their **corporate social responsibility** (CSR) practices

Issues with child labour and exploitation of labour in the supply chain

Child labour	Exploitation of labour

▪ Some MNCs have manufacturing facilities in countries where child labour is common
  ▪ Usually in areas where children are working to **generate income for the family**
▪ MNCs using child labour in their supply chain face backlash, which can damage their brand and affect sales
  ▪ E.g. there were protests outside the Primark Oxford Street store after a documentary revealed that child labour was used in its factories in Bangladesh
	▪ Exploitation of labour can take the form of **low wages and poor working conditions**
	  ▪ E.g. workers having to work long hours and with poor ventilation
	▪ MNCs are under increasing pressure from governments, customers and institutions, such as the **International Labour Organisation**, to take action to ensure that their products and services do not involve **exploitative labour practices**

Marketing considerations

- When developing their marketing strategies, MNCs must consider the **cultural and social differences** in the countries in which they operate

Marketing considerations for MNCs

Misleading labelling	Inappropriate promotional activities

▪ Labelling must **comply** with the regulations of the country
  ▪ The information must be correct and not include any **false information aimed at generating higher sales**
▪ Examples of misleading information include false information about a product's:
  ▪ Size
	▪ **Promotional activities** should not be offensive or illegal
	  ▪ E.g. Nivea had to pull its "White is purity" campaign for its deodorant in the Middle East, as the public believed it was promoting white supremacy

- Content - Features - Functionality - E.g. Volkswagen was found to falsely promote "clean diesel" vehicles and had to pay approximately $34bn in fines - This severely **damaged the brand**	

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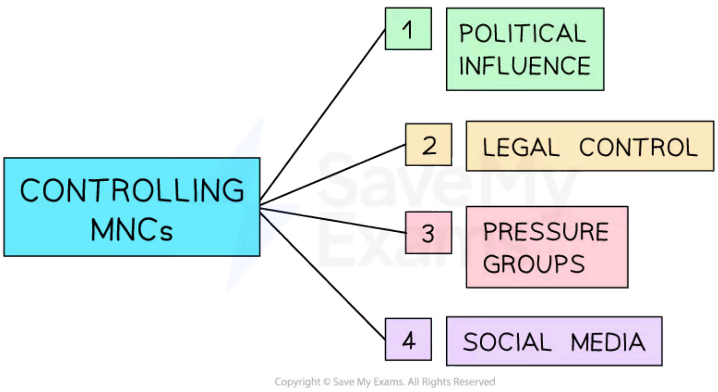
Factors to consider when managing multinational corporations

- Both governments of **LEDCs** and **MEDCs** find it difficult to manage multinational corporations (MNCs)
  - MEDCs often benefit from the profits of MNCs, and these firms carry significant **political influence** on government policy
  - LEDCs often have **key decision makers (autocratic rulers)** who receive payment for access to the country's resources
  - It is important to control the activities of MNCs so as to **enhance the benefits** and **reduce the disadvantages** of what they offer

Controlling MNCs



Factors to consider when controlling MNCs

Political influence

- **Political institutions enforce laws and regulations** that businesses need to adhere to
- When MNCs establish themselves in a new country, they must work within the **institutional framework** of that country
- MNCs in developed countries are often able to **exert pressure on national governments** through **lobbying** to create favourable conditions for their business
  - Another common issue occurs if **politicians occupy roles on the board of directors** for an MNC after retiring in return for reducing political control on the MNC whilst the politician is in power
- MNCs in developing countries can influence governments, as they may **establish deals that are beneficial to politicians**
  - **Bribes** may be paid to secure lucrative contracts

Legal control

- Governments can **enforce legislation and regulations** to control the operations of MNCs
  - The European Union (EU) has the Competition Commission, which protects producers and consumers from **anticompetitive or unfair practices**
    - Google was fined 2.24bn euros by the EU Competition Commission for **abusing its market dominance** in the search engine market
- Governments want to attract MNCs to help boost their economy, so **creating legal control in areas relating to taxes and employment** ensures stability for the MNC
  - E.g. prior to Brexit, MNCs were attracted by the stability of the UK economy, and it also offered them access to the full EU marketplace

Pressure groups

- Pressure groups are organisations that **operate to influence company and public policy** in the interest of a particular cause
- Pressure groups can operate on a **national or international scale**
  - Save the Arctic campaigned for Lego not to sell its products at Shell petrol stations
  - Greenpeace campaigned for Kimberly-Clark (the manufacturer of products such as Kleenex and Huggies) to dispose of its products in a sustainable way
- **Pressure groups can take action** in different forms, such as:
  - **Naming and shaming**
  - **Direct action**
    - E.g. protests, strikes and boycotting products
  - **Lobbying** by taking issues directly to the government
- There are also pressure groups that **work on behalf of MNCs**, such as the **Confederation of British Industry (CBI)**
  - The CBI speaks and lobbies the government on behalf of member businesses

Social media

- Social media involves the interaction of people via electronic devices using social media platforms
- **MNCs can use social media to their advantage** to spread awareness and promote their business on a global scale
  - However, social media also enables stakeholders to freely share information about the unethical behaviour of MNCs
  - MNCs are forced to **address the issues** raised on social media, as there is a **high level of public exposure**, so information spreads rapidly

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- **The influence of MNCs on social media may be limited** in some countries, as certain countries have regulations in place to manage social media power
  - E.g. the Chinese and Russian governments closely monitor social media to regulate information being spread

Your notes

Examiner Tips and Tricks

In Paper 1, when assessing the best way to control the actions of an MNC, you must consider the advantages and disadvantages of the different methods. When evaluating, you should also consider the most effective method within the context of the business in the extract. E.g. How large is the business? How well established is it? What is the reputation of the MNC in other countries?